



## Senior Managers and Certification Regime

The Senior Managers and Certification Regime (SM&CR) aims to reduce harm to consumers and strengthen market integrity by making individuals more accountable for their conduct and competence. See how it applies to your firm.

### On this page



Background

SM&CR Banking Stocktake Report

Launched in 2016, the SM&CR initially applied to banks, building societies, credit unions and PRA-designated investment firms. Insurers were brought fully into the regime in December 2018, and a year later it was extended to cover all solo-regulated firms except benchmark administrators, which were included in December 2020.

The Senior Managers & Certification Regime is undergoing reform as part of the government's broader financial services agenda.

The SM&CR aims to reduce harm to consumers and strengthen market integrity by creating a system that enables firms and regulators to hold people to account. As part of this, the SM&CR aims to:

- Encourage staff to take personal responsibility for their actions.
- Improve conduct at all levels.
- Make sure firms and staff clearly understand and can show who does what.

The introduction of the SM&CR didn't require firms to change their governance structure or hire new people to fill specific roles.

The regime consists of three parts: the [Senior Managers Regime](#) [1], the [Certification Regime](#) [2], and the [Conduct Rules](#) [3].

## Background

In response to the 2008 banking crisis and significant conduct failings such as the manipulation of LIBOR, Parliament set up the Parliamentary Commission for Banking Standards (PCBS) to recommend ways to improve standards in the banking sector.

PCBS recommended a new accountability framework focused on senior management. It also recommended that firms take more responsibility for employees being fit and proper, and that there be better standards of conduct at all levels in banking firms.

Based on these recommendations, Parliament passed legislation in December 2013, leading to the FCA and PRA applying the SM&CR to the banking sector from March 2016, following detailed consultation. Parliament made further changes to legislation in May 2016, requiring us to extend the regime to all FSMA-authorised firms.

## SM&CR Banking Stocktake Report

In 2019 the FCA undertook a [review](#) [4] to understand how the SM&CR had embedded in the banking sector in the 3 years since it was introduced. The review indicated that firms' senior managers had become clear on what accountability meant for them and that the SM&CR had often led to stronger tone and ownership by senior management, with many firms seeking to develop a culture of challenge, escalation and safety to speak up.

Additionally, in 2020 the PRA published an [evaluation](#) [5] of how the SM&CR was delivering against its original objectives in the context of dual-regulated firms.

### Page updates

24/04/2026 : **Information changed** Updated boxout on SM&CR reforms.

13/02/2026 : **Link changed** Broken link correction in right-hand menu

27/10/2025 : Technical update: no content changed

18/03/2025 : **Link added** Added links to right-hand menu.

30/03/2023 : **Editorial amendment** content review

13/03/2023 : **Editorial amendment** website refresh menu update

06/02/2023 : **Editorial amendment** page update as part of website refresh

22/09/2022 : **Information changed** Previous coronavirus (Covid-19) governance arrangements

12/01/2021 : **Editorial amendment** Coronavirus information moved from the main firms coronavirus page,

08/01/2021 : **Information added** Publication of directory persons data update.

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**Source URL:** <https://www.fca.org.uk/firms/senior-managers-certification-regime>

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### Links

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- [2] <https://www.fca.org.uk/firms/senior-managers-and-certification-regime/senior-managers-regime>
- [3] <https://www.fca.org.uk/firms/senior-managers-and-certification-regime/certification-regime>
- [4] <https://www.fca.org.uk/firms/senior-managers-certification-regime/conduct-rules>
- [5] <https://www.fca.org.uk/publications/multi-firm-reviews/senior-managers-and-certification-regime-banking-stocktake-report>
- [6] <https://www.bankofengland.co.uk/prudential-regulation/publication/2020/evaluation-of-the-senior-managers-and-certification-regime>

- [7] <https://www.fca.org.uk/firms/senior-managers-and-certification-regime/fitness-and-propriety-fp>
- [8] <https://www.fca.org.uk/firms/senior-managers-certification-regime/categorisation-solo-regulated-firms>
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- [10] [https://www.fca.org.uk/search-results?search\\_term=senior%20managers%20regime](https://www.fca.org.uk/search-results?search_term=senior%20managers%20regime)
- [11] <https://www.bankofengland.co.uk/prudential-regulation/key-initiatives/strengthening-accountability>
- [12] <https://www.fca.org.uk/firms/senior-management-functions/prepare-apply>
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